

To:
Editors
Journal of Policy Analysis and Management

Cover Letter: Submission of “Voting Down Road Maintenance: The Fiscal Illusion of Local Tax Relief and House Values”

Dear Editors,

We are pleased to submit our manuscript, “Voting Down Road Maintenance: The Fiscal Illusion of Local Tax Relief and House Values,” for consideration as a Feature Research Article in the *Journal of Policy Analysis and Management*.

The paper utilizes a quasi-experimental setting to study a situation commonly encountered by officials in local governance: whether voters renew dedicated funding for the maintenance of existing infrastructure. Using 3,184 Ohio road-maintenance renewal referendums from 1991 to 2021, we compare jurisdictions where renewal levies narrowly fail with jurisdictions where they narrowly pass. This close-election design identifies local treatment effects of losing an existing road-maintenance revenue stream on the existing infrastructure and housing market.

Our results show that failed renewals produce delayed but meaningful housing-market consequences. The average failed levy removes about 11% of a local road-maintenance budget. Median house prices fall by about \$15,350, or 9% over the following decade, with effects emerging four years after the vote. We also leverage satellite and aerial imagery of roads, and fine-tune a vision model to classify road quality. Using our road quality metrics, we shed light on the underlying mechanisms and show that road-quality scores decline by up to 16% in the most precisely estimated post-election windows. We find that the house price effects are larger in urban markets, for higher-value houses, and after larger levy failures.

We believe the manuscript fits JPAM because it speaks directly to public finance, public management, housing and community development. The paper frames road-maintenance renewal elections as infrastructure preservation decisions rather than only tax decisions, and highlights the trade-offs between short-term tax relief and long-term capital losses. The findings are relevant to local officials, voters, policymakers, and analysts assessing how modest, recurring tax savings can lead to deferred maintenance, reduced service quality, and ultimately lower property values.

The manuscript is original, is not under review elsewhere, and no external funding was received for the project. We have no conflicts of interest to disclose. Along with our submission, we have also provided proof of APPAM membership

Thank you for considering our submission. We look forward to your evaluation and would be glad to provide any additional information that may assist in the review process.

Sincerely,

A handwritten signature in black ink, appearing to read 'Saannidhya Rawat', with a stylized, flowing script.

Saannidhya Rawat

PhD Candidate, Department of Economics

Carl H. Lindner College of Business

University of Cincinnati

rawatsa@mail.uc.edu

<https://saannidhya.github.io/>

David M. Brasington

Professor, Department of Economics

Carl H. Lindner College of Business

University of Cincinnati

brasindd@ucmail.uc.edu